

Tesla, Inc.
TSLA NASDAQ

Hold \$348.83 ▲ 2.61% 12M Price Target \$375.00 52-Week Range \$297.38 – \$498.83

Market Cap \$1.38T

TSLA: Texas Solar Bet Fuels Rally, But Options Flash Caution

WHAT HAPPENED

- TSLA is up 2.6% to \$348.83 on a 2-week win streak — the big news is Tesla plowing \$10.1B into Texas solar plus hinting at satellite internet baked into cars. Translation: they're doubling down on the "we're not just a car company" narrative, and the market is buying it (literally).
- But watch the options tape — heavy unusual PUT buying at \$430-\$450 strikes for August expiry (contracts betting the stock FALLS). Someone with size is either hedging or betting this rally runs out of gas before hitting the 52-week high of \$498.

WHY IT MATTERS

The Texas solar spend is smart positioning — with the Trump administration killing the \$7,500 EV tax credit last year, Tesla's auto growth story is under pressure, so pivoting capital toward energy storage (which IS still getting federal support via grid modernization funding) diversifies the political risk. But here's the tension: the stock is trading at ~\$1.38T market cap on a business that fundamentally still sells cars, and Q2 delivery growth has been anemic. The rally is a NARRATIVE rally — solar, robotaxi, Optimus, satellite — not an earnings rally. That means it's fragile: any single disappointment (robotaxi delay, solar project cost overrun) could unwind fast, which is exactly what the put buyers are positioning for.

POLICY & POLITICAL WATCH

Two big policy crosscurrents right now: (1) The EV tax credit is GONE as of late 2025, which is a real headwind for Tesla's US auto demand — you're seeing it in the sideways delivery numbers. (2) On the flip side, the administration's push for domestic energy dominance and grid resiliency is a tailwind for Tesla Energy (Megapack, solar) — the Texas \$10B bet is essentially Tesla front-running expected state and federal incentives for battery storage. Also watch China tariffs: Tesla's Shanghai gigafactory is a huge profit center, and any escalation in the trade fight (rumors of new tariffs on Chinese-made vehicles re-exported to Europe) could hit margins directly.

IS IT EXPENSIVE?

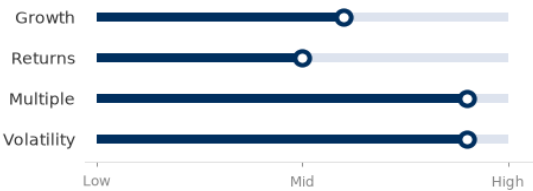
At ~\$349, TSLA trades around 122x forward earnings — meaning investors are paying \$122 for every \$1 the company is expected to earn next year. For comparison, Toyota trades at ~10x and even Nvidia is around 35x. That's not a car valuation, that's a "we believe robotaxis and Optimus will change the world" valuation — and it's only justified if those bets actually deliver in the next 2-3 years.

WHAT COULD GO WRONG

Key Data

Price (USD)	\$348.83
12M Price Target	\$375.00
Upside / (Downside)	+7.5%
Market Cap	\$1.38T
FY2026E Revenue	\$118M
FY2027E Revenue	\$142M
FY2026E EPS	\$2.85
FY2027E EPS	\$3.90
Fwd P/E	122.4x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$380.00	\$355.00	\$315.00
6 Months	\$450.00	\$375.00	\$280.00
1 Year	\$500.00	\$375.00	\$250.00
2 Years	\$600.00	\$400.00	\$220.00
5 Years	\$900.00	\$500.00	\$180.00
10 Years	\$1500.00	\$700.00	\$150.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+7.2% over 5 days) — this is the dominant story this week, driven by supply concerns and the administration's energy dominance agenda. That indirectly helps Tesla Energy.

COOLING OFF: Consumer Discretionary (-0.9% over 5 days) — this is Tesla's official sector, and it's lagging, which tells you the auto side of TSLA isn't what's driving this rally.

ROTATION WATCH: Money is rotating OUT of pure consumer names and INTO energy/infrastructure — Tesla is uniquely positioned to catch both waves because it's classified as consumer disc but increasingly acts like an energy/AI hybrid.

RELATED PLAY: If you believe the Tesla Energy story, look at grid-scale battery and utility-adjacent names — companies like GE Vernova (GEV) or even Fluence (FLNC) benefit from the same grid modernization tailwind without the Musk-narrative premium.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the AI infrastructure king — every Tesla robotaxi/Optimus story indirectly validates the AI compute demand thesis.
- GEV (GE Vernova): Grid and power equipment play riding the same energy dominance policy wave that's boosting Tesla Energy.

TSLA CONTEXT: TSLA is leading consumer discretionary this week but lagging the pure AI/energy names on a 6-month basis. That tells me the market is treating it as a "hybrid bet" — you're getting some AI premium but the auto anchor is holding it back from truly running with the Nvidias of the world.

WHAT I'D DO WITH THIS STOCK

5/10 Conviction Score

CONVICTION: 5/10 — I'm cautiously neutral. The narrative is real but the valuation leaves no room for error, and the put flow is telling me smart money is hedging.

POSITION SIZE: 2-4% max. This isn't a "back up the truck" name at these levels — it's a volatility monster with binary outcomes on robotaxi.

ENTRY POINTS: I'd wait for pullbacks to \$310-325 (near the 52-week low zone). Chasing at \$349 after a 2-week run is bad risk/reward.

TIME HORIZON: 12-24 months — the catalyst you're waiting for is either (a) robotaxi actually scaling in 2-3 cities with real revenue, or (b) Tesla Energy hitting a \$30B+ annualized run rate.

WHEN TO BAIL: Bail if auto gross margin drops below 12%, if the Austin robotaxi gets suspended by regulators, or if Musk announces he's stepping further back from Tesla for xAI.

HEDGING: Easiest hedge — buy some longer-dated protective puts (contracts that pay off if the stock falls) around the \$300 strike. Costs a bit but sleeps well when Musk tweets at 2am.